OLIST · DELIVERY & CUSTOMER EXPERIENCE

Late deliveries are costing Olist its reviews

What 96,478 delivered orders say about where to fix logistics first

Portfolio project: real Olist public data, simulated stakeholder · Sep 2016 – Aug 2018

THE QUESTION

How does delivery performance affect customer satisfaction, and where should we invest first?

96,478	R$15.4M	93.2%	4.16
delivered orders	revenue (items + freight)	delivered on time	average review (of 5)

Scope: delivered orders purchased Sep 2016 – Aug 2018, Olist public dataset. Revenue in Brazilian reais (R$).

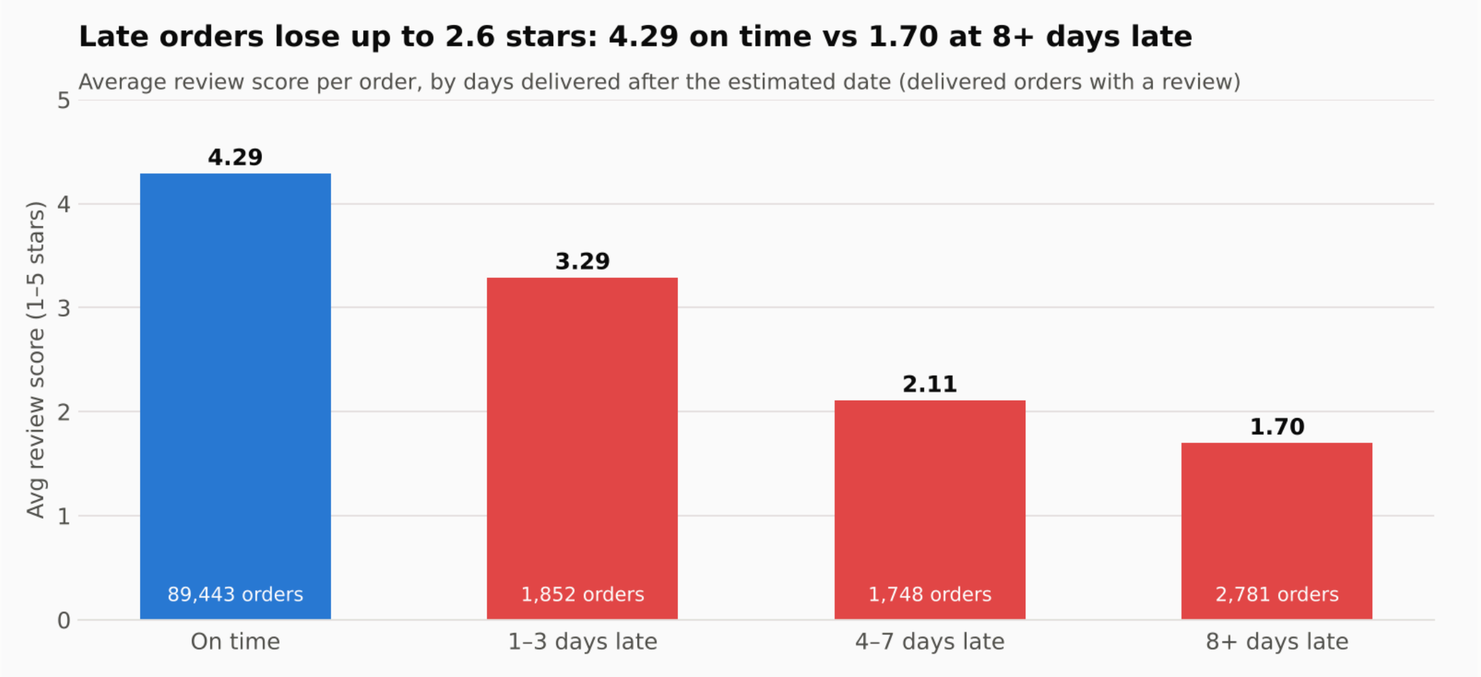
THE ANSWER

Late delivery is the biggest driver of bad reviews. It happens on long carrier routes into seven states. Fix Rio de Janeiro first.

Bringing those states up to the national on-time rate would mean about 1,140 fewer late orders, 17.4% of all late orders.

FINDING 1 · REVIEWS

Late orders lose up to 2.6 stars



32.5%

of all 1–2 star reviews come from late orders, which are only 6.7% of orders

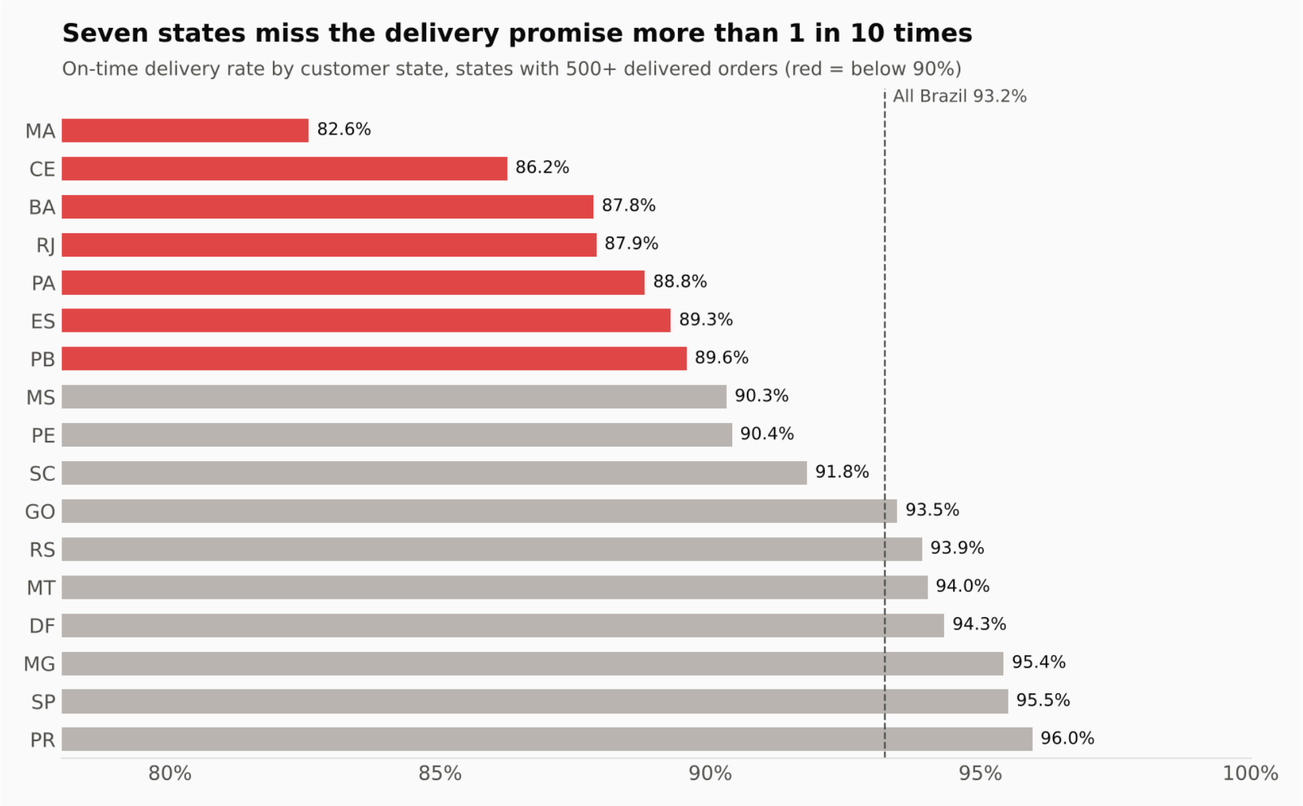
79%

of orders 8+ days late end with a 1–2 star review

Average review per order. Late = delivered after the estimated date. Source: sql/05_analysis.sql, Queries 8 and 10.

FINDING 2 · WHERE

Seven states get 39% of all late orders



21.8% → 39.3%

The seven states below 90% place 21.8% of orders but receive 39.3% of late orders

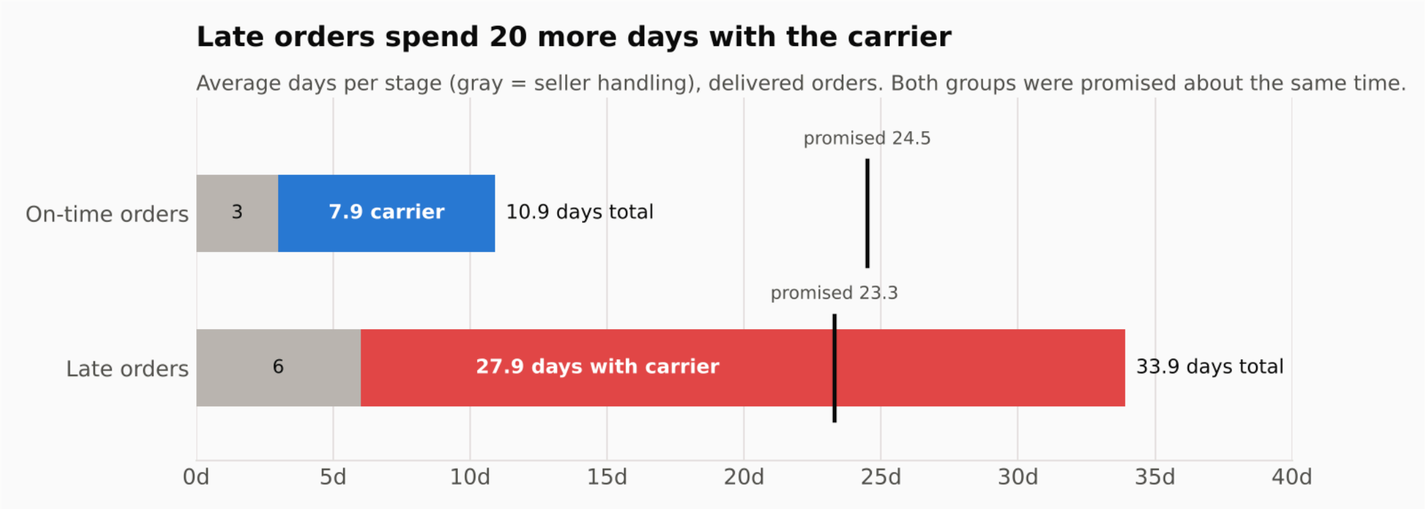
22.9%

of all late orders go to Rio de Janeiro, which is only 12.8% of orders

States with 500+ delivered orders. Source: sql/05_analysis.sql, Queries 4 and 9.

FINDING 3 · WHY

The delay happens with the carrier, on long routes



76%

of late orders crossed state lines. Those orders are late 8.0% of the time vs 4.5%

92–100%

of orders in the seven worst states come from out-of-state sellers, mostly São Paulo

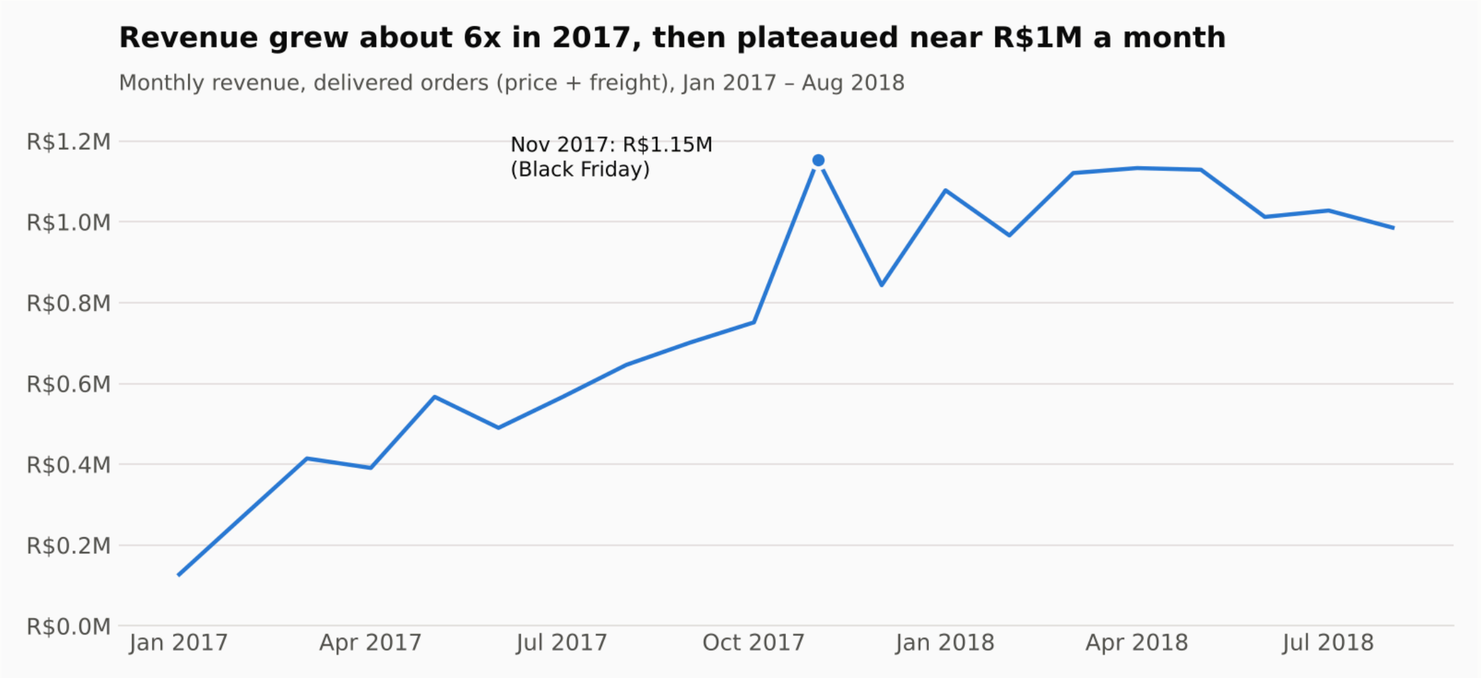
23.3 vs 24.5

days promised to late vs on-time orders: the estimate doesn't reflect the route

Seller handling = purchase to carrier hand-off. Source: sql/05_analysis.sql, Queries 12 and 13.

FINDING 4 · WHY IT MATTERS NOW

Growth has stalled, and almost no one orders twice



3.0%

of customers ever place a second order (2,801 of 93,358)

R$1.06M

average monthly revenue in 2018, after 6.6x growth during 2017

Revenue = item price + freight, delivered orders. Source: sql/05_analysis.sql, Queries 5 and 7.

RECOMMENDATIONS

Six moves, in priority order

1. Fix the seven worst states

Start with RJ. At the national rate, about 1,140 fewer orders would be late.

2. Fix the long-haul carrier leg

Compare carriers on routes out of São Paulo and move volume to the on-time ones.

3. Promise by route

Set estimates from seller state, customer state and season, not one window.

4. Plan for peaks

Add carrier capacity and extend estimates before Black Friday.

5. Recover late orders

Warn customers early and offer a voucher. Late orders carried R$1.15M.

6. Then grow repeat orders

Test a second-order offer for customers whose first order arrived on time.

Red = fixes the cause of late deliveries. Blue = limits the damage and grows from there.

LIMITS AND NEXT STEPS

What we don’t know yet

Limits

- Correlation, not causation: late orders may also differ in product or season
- Carrier names aren’t in the data, so we can’t rank carriers yet
- Delivered orders only, Sep 2016 – Aug 2018

Next steps

- Pilot route-based estimates in Rio de Janeiro and measure the review change
- Get carrier IDs to compare carriers on the same routes
- Track on-time rate and reviews monthly on the dashboard